

ALLAMA IQBAL OPEN UNIVERSITY

(Department of Commerce)

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Course:

Financial Accounting (5418)

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Level:

AD/B.Com

Assignment No. 1

(Units 1-4)

Q1:

(a) What is the purpose of financial accounting? Explain. also, list down the primary and secondary users of accounting information and mention why the accounting information is required by them.

(a) Purpose of Financial Accounting

Financial accounting is the branch of accounting that records, classifies, summarizes, and reports the financial transactions of a business. It prepares financial statements such as the **Income Statement, Balance Sheet, Cash Flow Statement, and Statement of Changes in Equity**, which help users understand the financial performance and position of a business.

Purposes of Financial Accounting

1. Recording Business Transactions

- It systematically records all financial transactions in chronological order.

2. Preparation of Financial Statements

- It prepares financial reports that show the financial performance and financial position of a business.

3. Providing Information for Decision-Making

- It provides useful financial information to investors, creditors, management, and other stakeholders.

4. Measuring Profit or Loss

- It determines whether the business has earned a profit or suffered a loss during a specific accounting period.

5. Ensuring Legal Compliance

- It helps businesses comply with accounting standards, tax laws, and government regulations.

6. Facilitating Comparisons

- Financial statements enable comparison of business performance over different periods and with other organizations.

7. Maintaining Transparency

- It promotes accountability and transparency by presenting accurate financial information to interested parties.

Users of Accounting Information

Users of accounting information are generally divided into **Primary Users** and **Secondary Users**.

A. Primary Users

User	Why They Need Accounting Information
Owners/Shareholders	To evaluate profitability, financial position, and return on investment.
Investors	To decide whether to invest, hold, or sell shares.
Management	For planning, controlling operations, budgeting, and decision-making.
Creditors/Lenders	To assess the company's ability to repay loans and interest.

B. Secondary Users

User	Why They Need Accounting Information
Government	To assess taxes and ensure compliance with laws and regulations.
Employees	To evaluate job security, salary negotiations, and company stability.
Customers	To determine whether the business will continue supplying goods or services.
Suppliers	To assess the company's ability to pay for goods purchased on credit.
Researchers and Analysts	To study industry trends and business performance.
General Public	To understand the economic contribution and social responsibility of the business.

Conclusion

Financial accounting plays a vital role in recording and reporting the financial activities of a business. It provides reliable and standardized financial information that helps both primary and secondary users make informed economic decisions. Accurate financial accounting enhances transparency, accountability, and the long-term success of an organization.

(b) Identify how each of the following separate transactions affects financial statements. For the balance sheet, identify how each transaction affects total assets, total liabilities, and total equity. For the income statement, identify how each transaction affects net income. For the statement of cash flows, identify how each transaction affects cash flows from operating activities, cash flows from financing activities, and cash flows from investing activities. For increases, place a “+” in the column or columns. For decreases, place a “-” in the column or columns. If both an increase and a decrease occur, place “+/-” in the column or columns. The first transaction is completed as an example.

Transaction	Total Assets	Total Liabilities	Total Equity	Net Income	Operating Cash Flow	Investing Cash Flow	Financing Cash Flow
Example: Owner invests cash in the business	+	0	+	0	0	0	+
1.Purchased equipment for cash	+/-	0	0	0	0	-	0
2.Purchased inventory on credit	+	+	0	0	0	0	0
3. Paid salaries to employees	-	0	-	-	-	0	0
4. Received cash from customers for services provided	+	0	+	+	+	0	0
5. Paid supplier for goods purchased on credit	-	-	0	0	-	0	0
6. Borrowed cash from a bank	+	+	0	0	0	0	+
7. Paid loan principal	-	-	0	0	0	0	-
8.Purchased land by issuing common shares	+	0	+	0	0	0	0
9. Declared and paid cash dividend	-	0	-	0	0	0	-
10.Recorded depreciation expense	-	0	-	-	0	0	0

Explanation

- **Assets** increase when the business receives cash or acquires property and decrease when cash or assets are used.
- **Liabilities** increase when the business borrows money or buys on credit and decrease when debts are paid.
- **Equity** increases through owner investment and profits, while it decreases through losses and dividends/withdrawals.
- **Net Income** is affected only by revenues and expenses.
- **Operating Cash Flow** includes cash received from customers and cash paid for operating expenses.
- **Investing Cash Flow** includes the purchase or sale of long-term assets such as land and equipment.
- **Financing Cash Flow** includes owner investments, loans, loan repayments, and dividend payments.

Q2:

- 1. Prepare General Journal Entries.**
- 2. Post them to Ledger Accounts.**
- 3. Prepare a Trial Balance as at 30 April.**

1. General Journal Entries

Date	Particulars	Debit (\$)	Credit (\$)
Apr 1	• Cash A/c Dr. • Office Equipment A/c Dr. • G. Bauer , Capital A/c	• 100,000 • 24,000	• 124,000
Apr 2	• Prepaid Rent A/c Dr. • Cash A/c	• 7,200	• 7,200
Apr 3	• Office Equipment A/c Dr.	• 12,000	

	• Office Supplies A/c Dr. • Accounts Payable A/c	• 2,400	• 14,400
Apr 6	• Cash A/c Dr. • Service Revenue A/c	• 2,000	• 2,000
Apr 9	• Accounts Receivable A/c Dr. • Service Revenue A/c	• 8,000	• 8,000
Apr 13	• Accounts Payable A/c Dr. • Cash A/c	• 14,400	• 14,400
Apr 19	• Prepaid Insurance A/c Dr. • Cash A/c	• 6,000	• 6,000
Apr 22	• Cash A/c Dr. • Accounts Receivable A/c	• 6,400	• 6,400
Apr 25	• Accounts Receivable A/c Dr. • Service Revenue A/c	• 2,640	• 2,640
Apr 28	• G. Bauer, Withdrawals A/c Dr. • Cash A/c	• 6,200	• 6,200
Apr 29	• Office Supplies A/c Dr. • Accounts Payable A/c	• 800	• 800
Apr 30	• Utilities Expense A/c Dr. • Cash A/c	• 700	• 800

2. Ledger Balances (Ending)

Cash (101)

Debit	Credit	Balance
100,000		100,000 Dr
2,000		102,000 Dr
	7,200	94,800 Dr
	14,400	80,400 Dr
	6,000	74,400 Dr
6,400		80,800 Dr
	6,200	74,600 Dr
	700	73,900 Dr

Accounts Receivable (106)

Debit	Credit	Balance
8,000		8,000 Dr
	6,400	1,600 Dr
2,640		4,240 Dr

Office Supplies (124)

Debit	Credit	Balance
2,400		2,400 Dr
800		3,200 Dr

Prepaid Insurance (128)

Debit	Credit	Balance
6,000		6,000 Dr

Prepaid Rent (131)

Debit	Credit	Balance
7,200		7,200 Dr

Office Equipment (163)

Debit	Credit	Balance
24,000		24,000 Dr
12,000		36,000 Dr

Accounts Payable (201)

Debit	Credit	Balance
	14,400	14,400 Cr
14,400		0
	800	800 Cr

G. Bauer, Capital (301)

Debit	Credit	Balance
	124,000	124,000 Cr

G. Bauer, Withdrawals (302)

Debit	Credit	Balance
6,200		6,200 Dr

Service Revenue (403)

Debit	Credit	Balance
	2,000	2,000
	8,000	10,000 Cr
	2,640	12,640 Cr

Utilities Expense (690)

Debit	Credit	Balance
700		700 Dr

3. Trial Balance

Technology Consultants

Trial Balance

April 30

Account Title	Debit (\$)	Credit (\$)
Cash	73,900	
Accounts Receivable	4,240	
Office Supplies	3,200	
Prepaid Insurance	6,000	
Prepaid Rent	7,200	
Office Equipment	36,000	

Accounts Payable		800
G. Bauer, Capital		124,000
G. Bauer, Withdrawals	6,200	
Service Revenue		12,640
Utilities Expense	700	
Totals	137,440	137,440

Trial Balance Totals Match: \$137,440 = \$137,440, so the accounts are in balance.

Q3: Devise a coding scheme using block and sequential codes for the following chart of accounts for Digital Camera Distributors.

(A) Block Coding Scheme

Code Block	Account Category
100–199	Assets
200–299	Liabilities
300–399	Equity
400–499	Revenue
500–599	Cost of Goods Sold
600–699	Operating Expenses
700–799	Other Expenses

(B) Sequential Coding of Accounts

Code	Account Title
101	Cash
102	Accounts Receivable
103	Office Supplies
104	Prepaid Insurance
105	Inventory
106	Marketable Securities
107	Delivery Van
108	Accumulated Depreciation – Delivery Van
109	Plant
110	Accumulated Depreciation – Plant
111	Furniture & Fixtures
112	Accumulated Depreciation – Furniture & Fixtures
113	Building
114	Accumulated Depreciation – Building
115	Land

Liabilities (200–299)

Code	Account Title
201	Accounts Payable
202	Wages Payable
203	Taxes Payable
204	Notes Payable
205	Bonds Payable

Equity (300–399)

Code	Account Title
301	Common Shares
302	Share Premium
303	Retained Earnings

Revenue (400–499)

Code	Account Title
401	Sales
402	Sales Returns
403	Dividend Income

Cost of Goods Sold (500–599)

Code	Account Title
501	Cost of Goods Sold

Operating Expenses (600–699)

Code	Account Title
601	Wages Expense
602	Utility Expense
603	Supplies Expense
604	Insurance Expense
605	Depreciation Expense
606	Advertising Expense
607	Fuel Expense

Other Expenses (700–799)

Code	Account Title
701	Interest Expense

Conclusion

This coding scheme uses **block coding** to classify accounts into major categories (Assets, Liabilities, Equity, Revenue, Cost of Goods Sold, and Expenses) and **sequential coding** to assign a unique number to each account within its category. It simplifies recording, posting, reporting, and retrieval of accounting information.

Q4:

(a) Procedure for Valuation and Presentation of Short-Term Equity Securities under the Mark-to-Market Concept

Mark-to-Market (MTM) means that short-term equity securities are valued at their **current fair market value** at the end of the accounting period instead of their original purchase cost. This method ensures that financial statements reflect the most up-to-date value of investments.

Procedure

1. **Record the investment at cost**
 - Initially, the securities are recorded at the purchase price.
2. **Determine the fair market value**
 - At the end of the accounting year, determine the current market price of the securities.
3. **Compare cost with fair value**
 - Compare the carrying amount with the market value to identify any unrealized gain or loss.
4. **Record unrealized gain or loss**
 - If the market value is higher than cost, recognize an **unrealized gain**.
 - If the market value is lower than cost, recognize an **unrealized loss**.
5. **Adjust the investment account**
 - Increase or decrease the investment account so that it equals the fair market value.
6. **Present in the financial statements**
 - Show the investment under **Current Assets** in the Balance Sheet at its fair value.
 - Report the unrealized gain or loss in the Income Statement (or according to the applicable accounting standards).

Advantages

- Reflects the current market value of investments.
- Provides more reliable and relevant financial information.
- Helps investors and management make better decisions.
- Increases transparency and accuracy of financial reporting.

Q4:

(b) 1. Journal Entries (Allowance Method)

(i) Write-off of Bad Debts (Rs. 630,000)

Particulars	Debit (Rs.)	Credit (Rs.)
Allowance for Bad Debts A/c Dr.	630,000	
Accounts Receivable A/c		630,000

(ii) Recovery of Previously Written-off Account (Rs. 35,000)

Step 1: Reinstate the Account

Particulars	Debit (Rs.)	Credit (Rs.)
Accounts Receivable A/c Dr.	35,000	
Allowance for Bad Debts A/c		35,000

Step 2: Record Collection

Particulars	Debit (Rs.)	Credit (Rs.)
Cash A/c Dr.	35,000	
Accounts Receivable A/c		35,000

(iii) Adjusting Entry for Allowance

Opening Allowance = **Rs. 600,000 (Cr.)**

Less: Write-off = **630,000**

Add: Recovery = **35,000**

Balance before adjustment = **Rs. 5,000 (Dr.)**

Required ending balance = **Rs. 650,000 (Cr.)**

Required adjustment:

$$650,000 + 5,000 = \text{Rs. } 655,000$$

Particulars	Debit (Rs.)	Credit (Rs.)
Bad Debts Expense A/c Dr.	655,000	
Allowance for Bad Debts A/c		655,000

2. Advantages of the Allowance Method over the Direct Method

1. It follows the **Matching Principle** by recording bad debt expense in the same period as the related sales.
2. It presents **Accounts Receivable at Net Realizable Value** in the Balance Sheet.
3. It provides more accurate and reliable financial statements.
4. It recognizes expected credit losses before actual defaults occur.
5. It complies with **Generally Accepted Accounting Principles (GAAP)** and **International Financial Reporting Standards (IFRS)**.
6. It helps management estimate future cash collections more effectively.

Conclusion

The **Allowance Method** is preferred because it matches expenses with revenues, presents receivables at their expected collectible amount, and produces more accurate and transparent financial statements than the Direct Write-off Method.

Q5: Prepare adjusting journal entries for the year ended December 31, 2025.

(a) Depreciation on Equipment = \$16,000

Particulars	Debit (\$)	Credit (\$)
Depreciation Expense A/c Dr.	16,000	
Accumulated Depreciation– Equipment A/c		16,000

(b) Prepaid Insurance Balance = \$7,000, Unexpired Insurance = \$1,040

$$\text{Expired Insurance} = \$7,000 - \$1,040 = \$5,960$$

Particulars	Debit (\$)	Credit (\$)
Insurance Expense A/c Dr.	5,960	
Prepaid Insurance A/c		5,960

(c) Office Supplies

Opening Balance = \$300

Purchased = \$2,680

Total Available = \$2,980

Remaining Supplies = \$354

Supplies Used = \$2,980 – \$354 = \$2,626

Particulars	Debit (\$)	Credit (\$)
Supplies Expense A/c Dr.	2,626	
Office Supplies A/c		2,626

(d) Unearned Revenue

Cash Received in Advance = \$10,000

Work Completed = 50% = \$5,000

Particulars	Debit (\$)	Credit (\$)
Unearned Revenue A/c Dr.	5,000	
Service Revenue A/c		5,000

(e) Prepaid Insurance Balance = \$5,600, Expired Coverage = \$4,600

Particulars	Debit (\$)	Credit (\$)
Insurance Expense A/c Dr.	4,600	
Prepaid Insurance A/c		4,600

(f) Accrued Wages = \$4,000

Particulars	Debit (\$)	Credit (\$)
Wages Expense A/c Dr.	4,000	
Wages Payable A/c		4,000

Summary of Adjusting Entries

Part	Adjustment
(a)	Record depreciation expense of \$16,000 .
(b)	Record expired insurance of \$5,960 .
(c)	Record office supplies used of \$2,626 .
(d)	Recognize \$5,000 as earned service revenue.
(e)	Record expired insurance of \$4,600 .
(f)	Accrue unpaid wages of \$4,000 .